

TO SELL USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Prepare a watchlist of stocks.

Use RSI and Supertrend to filter out stocks.

Look for stocks where the RSI is moving towards the 40 level and the supertrend is turning bearish.

If the price stays below Supertrend and the RSI crosses the 40 level, the **SELL** entry is triggered.

Place **STOPLOSS** at the swing high, keep trailing it at the Supertrend level.

TARGET is on a trailing basis- exit when the price closes above Supertrend.

You can only create a short position in the derivatives segment. I.e. stock/index F&O.

On 28th February 2020, BankNifty broke its consolidation range and made a bearish candle. With this, the Supertrend turned bearish and the RSI went below the 40 level. These confluences confirmed a selling trade. With this strategy, we entered the trade on 28th February 2020 and exited on 1st June 2020. The profit booked was almost 1:4 Risk to Reward ratio.